- Eldest women of the household of age 18 years or above to be the head of the household for the purpose of issuance of ration cards.
- Food grains under TPDS will be made available at subsidized prices of ₹3/2/1 per kg of rice, wheat and coarse grains for a period of three years from the date of commencement of the Act.

So the correct answer is option (b).

45. International Labour Organization's Conventions 138 and 182 are related to :
(a) Child labour
(b) Adaptation of agricultural practices to global climate change
(c) Regulation of food prices and food security
(d) Gender parity at the workplace

Ans. (a): The Union Cabinet has given its approval for ratification of the two fundamental conventions of the International Labour Organization (ILO), namely the Minimum Age Convention (No. 138) concerning minimum age for admission to employment and the worst form of child labour convention (No. 182) concerning the prohibition and immediate action for the elimination of the worst forms of child labour.

46. Increase in absolute and per capita real GNP do not connote a higher level of economic development, if
(a) industrial output fails to keep pace with agricultural output.
(b) agricultural output fails to keep pace with industrial output.
(c) poverty and unemployment increase.
(d) imports grow faster than exports.

Ans. (c): Development means qualitative change which are always value positive. This means that development cannot take place unless there is an increment or addition to the existing conditions. Development occurs when positive growth takes place. Yes, positive growth does not always lead to development. This happens when poverty and unemployment increase.

47. With reference to Pradhan Mantri Kaushal Vikas Yojana, consider the following statements :
1. It is the flagship scheme of the Ministry of Labour and Employment.
2. It, among other things, will also impart training in soft skills, entrepreneurship, financial and digital literacy.
3. It aims to align the competencies of the unregulated workforce of the country to the National Skill Qualification Framework.
Which of the statements given above is/are correct ?
(a) 1 and 3 only (b) 2 only
(c) 2 and 3 only (d) 1, 2 and 3

Ans. (c): Pradhan Mantri Kaushal Vikas Yojana (PMVKY) is the flagship scheme of the Ministry of Skill Development and Entrepreneurship (MSDE). Statement (1) is incorrect.
- The short term training imparted at PMKVY training centre (TCs) is expected to benefit candidates of Indian nationality who are either school/ college dropouts or unemployed.
- Apart from providing training according to the National Skills Qualification Framework (NSQF) TCs shall also impart training in soft skills, Entrepreneurship, Financial and Digital Literacy. Individuals with prior learning experience or skills will also be assessed and certified under-Recognition of Prior Learning (RPL).

So, statement (2) and (3) are correct.

• Economic Planning and National Income/Budget

48. Consider the following statements :
Human capital formation as a concept is better explained in terms of a process which enables-
1. individuals of a country to accumulate more capital.
2. increasing the knowledge, skill levels and capacities of the people of the country.
3. accumulation of tangible wealth.
4. accumulation of intangible wealth.
Which of the statements given above is/are correct ?
(a) 1 and 2 (b) 2 only
(c) 2 and 4 (d) 1, 3 and 4

Ans. (c): Statement (1) Human capital formation is the outcome of investment is education health, on, the job training migration and information refer to the aggregated of gross additions to fixed assets (that is fixed capital formation) plus change in stock during the counter period. As per RBI Gross Capital Formation (GCF) representing physical capital. Hence statement first is incorrect.
Statement (2) According to the OECD, human capital, is defined as " the knowledge, skills competencies and other attributes embodied in individuals or groups of individuals acquired during their life and used to produce goods, services or ideas in market circumstances".
Statement (3) Tangible capital is also GCF as it involves largely infrastructural components.
Statement (4) Intangible wealth of a nation is comprised of the skilled population, human resource base, culture, arts, etc.
So, the correct answer is option (c).

49. Despite being a high saving economy, capital formation may not result in significant increase in output due to
(a) weak administrative machinery
(b) illiteracy
(c) high population density
(d) high capital-output ration

Ans. (d): Without the availability of adequate, capital either in the form of physical capital or in the form of human capital development of the nation is not possible. The higher is rate of capital formation, the faster is the pace of economic growth. Saving and investment are essential for capital formation, but savings are different from hoardings. For savings to be utilized for investment purposes, they must be mobilised in banks and financial

institutions and the businessmen, the entrepreneurs and the farmers invest these community savings or capital goods by taking loans from these banks and financial institutions. This is capital formation.
The process of capital formation involves three steps : increase in the volume of real savings, mobilization of saving through financial and credit institutions and investment of savings. So, if a county has high savings but poor technology, low efficiency, then economic growth will not be possible.

• Agriculture, Industry and Trade

50. Consider the following :
1. Areca nut 2. Barley
3. Coffee 4. Finger millet
5. Groundnut 6. Sesamum
7. Turmeric
The Cabinet Committee on Economic Affairs has announced the Minimum Support Price for which of the above ?
(a) 1, 2, 3 and 7 only
(b) 2, 4, 5 and 6 only
(c) 1, 3, 4, 5 and 6 only
(d) 1, 2, 3, 4, 5, 6 and 7

Ans. (b): The MSP is announced by the Government of India for 25 crops currently at the beginning of each season viz, Rabi and Kharif. Kharif crops 14 crops covered in MSP these are Paddy, Jowar, Bajra, Maize, Ragi, Arhar (Tur), Moong, Urad, Cotton, Groundnut, Sunflower seed, Soyabean, Black Sesamum and Nigerseed. Crops covered under Rabi crops are 7 they are- Wheat, Barley, Gram, Masur (Lentil), Rapeseed/Mustard, Sunflower, Toria. Other crops are-copra, De-Husked Coconut, Jute and Sugarcane.

• Money, Banking and Tax System, Financial Relations of Centre & State

51. Which one of the following best describes the term "Merchant Discount Rate" sometimes seen in news?
(a) The incentive given by a bank to a merchant for accepting payments through debit cards pertaining to that bank.
(b) The amount paid back by banks to their customers when they use debit cards for financial transactions for purchasing goods or services.
(c) The charge to a merchant by a bank for accepting payments from his customers through the bank's debit cards.
(d) The incentive given by the Government to merchants for promoting digital payments by their customers through Point of Sale (PoS) machines and debit cards.

Ans. (c): MDR is a fee charged from a merchant by a bank for accepting payments from customers through credit and debit cards in their establishments. MDR compensates the card-issuing bank, the leader who puts the PoS terminal and payment gateways such as master card or visa for the services.
MDR charges are usually shared in pre-agreed proportion between the bank and a merchant and are expressed in percentage of the transaction amount.

52. With reference to India's decision to levy an equalization tax of 6% on online advertisement services offered by non-resident entities, which of the following statements is/are correct?
1. It is introduced as a part of the Income Tax Act.
2. Non-resident entities that offer advertisement services in India can claim a tax credit in their home country under the "Double Taxation Avoidance Agreements".
Select the correct answer using the code given below:
(a) 1 only (b) 2 only
(c) Both 1 and 2 (d) Neither 1 nor 2

Ans. (d): Equalization tax was introduced as part of the Finance Act, 2016. Taking a cue from OECD's BEPS Action Plan 1, India proposed an 'equalisation levy' on 12 digital services. The government has put a 6% equalization levy on the income accrued to a foreign e-commerce company that is not a resident of India. This will affect Google, Amazon, Facebook, etc. It is also called 'Google Tax'. Since it was not a part of the Income Tax Act, equalization levy was independent of taxability of the income embedded in the said services. Statement (1) is incorrect.
- Tax credit can't be claimed. Statement (2) is incorrect.

53. Consider the following statements:
1. The Fiscal Responsibility and Budget Management (FRBM) Review Committee Report has recommended a debt to GDP ratio of 60% for the general (combined) government by 2023, comprising 40% for the Central Government and 20% for the State Government.
2. The Central Government has domestic liabilities of 21% of GDP as compared to that of 49% of GDP of the State Governments.
3. As per the Constitution of India, it is mandatory for a State to take the Central Government's consent for raising any loan if the former owes any outstanding liabilities to the latter.
Which of the statements given above is/are correct?
(a) 1 only (b) 2 and 3 only
(c) 1 and 3 only (d) 1, 2 and 3

Ans. (c): According to the FRBM committee review report headed by NK Singh, the combined debt to GDP ratio of the centre and states should be brought down to 60 percent by 2023 (comprising 40% for the centre and 20 percent for states) against the existing 49.4% and 21% respectively. Statement (1) is correct.
- The Union Government has larger domestic liabilities of 49.23% of GDP as compared to that of the state (21% of GDP). Statement (2) is incorrect.
- Under Article 293, a state may not without the consent of the Government of India (GOI) raise any loan if there is still outstanding any part of a loan which has been made to the state by the Government of India or by its predecessor government, or in respect of which a guarantee has been given by the GOI or by its predecessor government. Statement (3) is correct.